DeFi Farming: Boost Your Crypto Yields

Welcome to the world of DeFi Farming - where your crypto assets can work harder for you by earning additional token rewards beyond standard yields.

What is Yield Farming?

Yield farming involves earning **extra reward tokens** for providing liquidity or lending assets in DeFi protocols.

This concept exploded during "DeFi Summer" in 2020, when Compound introduced the COMP token distribution to users.

These additional rewards come from protocol token emissions - newly minted tokens systematically distributed to liquidity providers, lenders, and stakers.

1

Deposit Assets

Add USDC, ETH or other tokens to a liquidity pool

2

Earn Base Yield

Collect trading fees (typically 0.1-0.3% per trade)

3

Harvest Bonus Tokens

Receive additional protocol tokens as incentives

Why Do Protocols Offer Farming Incentives?

Bootstrap Liquidity

Quickly attract capital to new markets and protocols

Community Building

Reward early adopters and create a loyal user base

TVL Competition

Compete with other protocols for Total Value Locked metrics

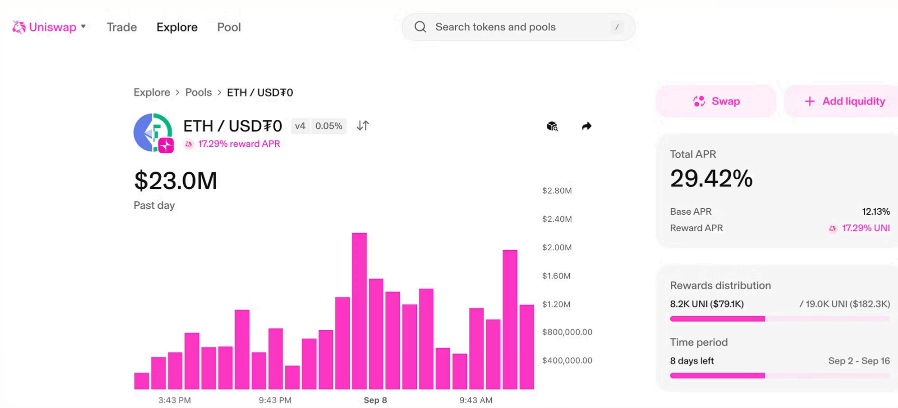
VC-Friendly Growth

Higher yields → more users → better metrics for venture investors

These incentives function similarly to marketing spend in traditional startups - trading token inflation for user acquisition and liquidity depth.

Finding & Evaluating Farming Opportunities

Uniswap Example: Unichain Launch



When Uniswap launched Unichain, they incentivised participation with UNI token rewards:

- LPs earned standard 0.3% swap fees *plus* UNI token rewards
- Initial APYs exceeded 200% at launch
- Returns gradually declined as more liquidity providers joined

Video tutorial - How to provide liquidity to Uniswap pools ? - (https://youtu.be/busXMze0EpM)

Tools to Discover Farming Opportunities

Merkl (https://app.merkl.xyz/)

Curated farming campaigns with transparent reward structures

DeFiLlama "Yields" (https://defillama.com/yields?token=ALL_USD_STABLES)

Comprehensive comparison of farming APRs across protocols and chains